

Question 24 · Unit 2 · 8 Marks

Explain career planning and potential appraisal as HRD subsystems.

Introduction

Both subsystems look forward. Performance appraisal mostly looks at the past year. Potential appraisal asks how far the person can go. Career planning draws the path. Together they make HRD long-term, which Unit 1 called development for expected future roles.

Detailed points

- 1. Potential appraisal — meaning.** A systematic estimate of an employee's capability to handle larger or different responsibilities. Tools may include boss reviews, assessment centres, work samples, and multiple raters. It should be separate from the performance rating so that a brilliant specialist is not automatically called a future general manager.
- 2. Potential appraisal — purpose.** Identify talent, invest development money wisely, avoid the Peter Principle (promoting people to their level of incompetence), and give employees a fair reading of organisational judgement.
- 3. Career planning — meaning.** A continuous process of selecting career goals and the path to them. Notes call it a blueprint from entry toward later years. It is a means of managing people for optimum results, not an end in itself. Environment changes, so plans are reviewed.
- 4. Career planning — whose job.** Primarily the individual's responsibility, but the organisation must provide information, counselling and opportunities. Goals of employees should be integrated with organisational goals.
- 5. Process of career planning.** Identify individual needs and aspirations; analyse career opportunities in the firm; identify match and mismatch; formulate strategies (training, rotation); review. This process is itself developmental because it builds self-awareness.
- 6. How the two subsystems join.** Potential data make career paths realistic. Career plans tell what experiences a high-potential employee needs. Without potential, career talk is wishful; without career planning, potential labels create frustration ('they said I am high potential but nothing happened').
- 7. Benefits.** Succession, retention, better promotion quality, motivation, stable workforce, morale — as listed in career-planning notes.
- 8. Cautions.** Secret potential lists, bias, and rigid ladders in a fast-changing firm harm HRD. Transparency (at least to the employee) and multiple career directions (specialist as well as manager) are needed.

Conclusion. Define each subsystem, give purpose and process, show their link, mention benefits and cautions. They are the future-oriented pair in the HRD system.